quarterly policy review—the first meeting about three weeks before the policy review and the second just a week before. This group brings together economists and analysts from three different departments of the Reserve Bank—the monetary policy department, the department of economic policy and research, and the department of statistics and information management. From the management side, the governor, all the deputy governors, executive directors and several heads of departments, altogether about fifty staff members, assemble to think through the strategy for the forthcoming policy.

At the heart of these meetings are presentations by each of the departments of its outlook on the macroeconomic situation and estimates for growth and inflation. These, in turn, would be based on all available data as well as on several surveys conducted by the Reserve Bank covering household inflation expectations, consumer confidence, industrial outlook, corporate performance, order book, inventory position and capacity utilization in the industry, and credit conditions. The three departments are enjoined to work independently. This has been a long established and deliberate arrangement instituted to mitigate the hazard of groupthink at the institutional level. In practice, the dividends this process yielded have been much richer; it gives the top management the benefit of a diversity of analytical insights and viewpoints. I also used to notice an undercurrent of competition between the teams to be more incisive in their analysis and more accurate in their projections which I found very charming.

The list of issues we would discuss at these meetings would actually make for a rich and interesting collection of box items in a standard economics textbook. At one meeting, the discussion veered to the impact, if any, of the government's decision to terminate minting of the 25 paise coin. The issue really was whether all prices would be rounded *up* to the next 25 paise limit or some might be rounded *down* too, and how consumers might respond. Our staff ran some statistical models and concluded that the net impact on inflation might be neutral.

There would be a lively debate following the presentations that was invariably very rewarding. I used to make an active effort to engage